

Capital A Berhad

Bursa Malaysia: CAPITALA | 5099.KL

Post-Restructuring Platform Play: Aviation DNA, Digital Ambitions

Equity Research | 14 August 2026

Market Cap	~RM 1.9B (~USD 420M)	Share Price	~RM 0.42 - 0.45	Shares Out.	4.47B basic
FY25 Revenue	RM 1.87B (incl. aviation)	Post-Disp. Rev	~RM 1.06B (Q4 run-rate)	Employees	~21,000
HQ	Sepang, Malaysia	52-Week Range	RM 0.24 - 1.03	Dilutive Sec.	~1.44B (RCUIDS + warrants)

This report does not constitute a recommendation to buy or sell securities.

1. Executive Summary

Capital A Berhad (formerly AirAsia Group Berhad) is a Malaysian investment holding company that has undergone one of Southeast Asia's most dramatic corporate transformations. After nearly six years under Bursa Malaysia's Practice Note 17 (PN17) financially distressed classification -- triggered by the Covid-19 pandemic's devastation of its core airline business -- Capital A completed its regularisation plan in January 2026 and was formally uplifted from PN17 status on 20 May 2026.

The restructuring centred on a single bold move: disposing of the entire aviation business (AirAsia Berhad and AirAsia Aviation Group Limited) to AirAsia X Berhad (AAX), combined with a RM 5.5 billion capital reduction to cleanse the balance sheet. Post-disposal, Capital A retains a ~19% stake in AAX and now operates as a diversified holding company built around five non-airline verticals: Asia Digital Engineering (ADE) for aircraft maintenance, repair and overhaul (MRO); Teleport for e-commerce logistics; AirAsia MOVE as an online travel agency (OTA); Santan for food and beverage (F&B); and AirAsia Next for brand licensing, intellectual property (IP), and loyalty.

Core Investment Thesis

Capital A is a post-restructuring sum-of-the-parts (SOTP) story with multiple near-term catalysts. ADE is the fastest-growing independent MRO in ASEAN, operating at full capacity with EASA and FAA certifications and a path to 40 hangar lines. Teleport was valued at USD 500 million in a pre-IPO round and is targeting a Hong Kong listing. AirAsia Next is pursuing a Nasdaq listing via SPAC merger at a ~USD 1.5 billion implied valuation. The variant perception is that the market still prices Capital A as a distressed post-airline stub, while management is assembling a portfolio of asset-light, tech-enabled businesses that -- if monetised individually -- could aggregate to a value meaningfully above the current market cap. The bear case is execution risk, a history of overpromising, and heavy dilution from outstanding warrants and RCUIDS.

2. Business Deep-Dive

2.1 Asia Digital Engineering (ADE) -- MRO

ELI5: MRO

Think of MRO like a car service centre, but for aeroplanes. Every aircraft needs regular check-ups (like your car's MOT), from quick inspections between flights (line maintenance) to full teardowns every few years (heavy or C-checks). ADE is the workshop that does this work -- and the more planes flying in Asia, the more workshops are needed.

ADE is Capital A's aircraft Maintenance, Repair and Overhaul subsidiary, founded in September 2020 by carving out AirAsia's in-house engineering department into a standalone commercial entity. ADE provides line maintenance, base maintenance (A-checks and C-checks), component workshop services, and engineering support across Airbus A320-family and Boeing 737 narrowbody fleets, as well as selected widebody types.

ADE currently operates 16 hangar lines -- 14 at KLIA Sepang and 2 in Senai, Johor -- making it the largest independent MRO facility in Malaysia by line count. The 14-line KLIA hangar, completed in September 2024 with USD 100 million in funding from OCP Asia, includes a digital product development centre running ADE's proprietary ELEVADE platform, which uses predictive analytics to optimise maintenance scheduling. In May 2025, ADE achieved dual EASA (European Union Aviation Safety Agency) and FAA (Federal Aviation Administration) certification -- critical approvals that allow it to service aircraft registered under European and American regulatory regimes, opening the door to Air France (already a customer), Middle Eastern carriers, and US-registered operators. ADE also holds Approved Maintenance Organisation (AMO) status in

10 countries across Asia.

Financial trajectory: In Q4 FY2025, ADE posted revenue of RM 247 million (+31% YoY), with EBITDA of RM 55 million (margin: 23%) and Net Operating Profit (NOP) margin of ~10-11%. Base maintenance revenue surged 51% YoY as third-party airline work (including Air France) scaled. In Q1 FY2026, ADE revenue grew 7.4% YoY to RM 222 million. Management targets 40 hangar lines in Malaysia within three to five years and is exploring M&A to add engine and landing gear capabilities. ADE secured a USD 100 million financing facility from QNB Group in 2026 to fund expansion.

2.2 Teleport -- E-Commerce Logistics

ELI5: Teleport

Imagine you order something online from a shop in China and it arrives at your door in Kuala Lumpur in three days. Teleport is the company that moves that parcel by air -- but instead of owning lots of planes, it mostly rents space in the cargo bellies of other airlines' passenger flights. It is like Uber for air cargo: matching parcels with available plane space.

Teleport is an integrated e-commerce logistics specialist operating the largest asset-light air cargo network in Southeast Asia. The model combines belly-space capacity on AirAsia's fleet, third-party partner airlines (55+ carriers), and a small number of Teleport-operated freighters to move cargo across a hub-and-spoke network spanning Asia-Pacific. In FY2025, Teleport moved a record 347,885 tonnes (+18% YoY) and 167 million parcels (+99% YoY), reaching a daily peak of 974,000 e-commerce parcels. FY2025 total revenue was RM 1.2 billion (+11% YoY) and NOP turned positive at RM 18.6 million -- a RM 40 million swing from a RM 21 million loss in FY2024.

In Q1 FY2026, Teleport's revenue rose 34% YoY on a constant-currency basis to USD 78 million (RM ~350 million), with the second-highest tonnage quarter on record (96,783 tonnes, +25% YoY) and 61.7 million parcels (+122% YoY). Non-AirAsia belly activities now account for 45% of revenue (up 6 percentage points YoY), reducing dependence on AirAsia's fleet. In early 2026, Teleport raised USD 50 million in pre-IPO capital from HPS Investment Partners at a USD 500 million pre-money valuation. Management is evaluating Hong Kong (HKEX) as the listing venue and has begun establishing a hub in Bahrain to connect Southeast Asia with the Middle East and Europe.

2.3 AirAsia MOVE -- Online Travel Agency

ELI5: MOVE

AirAsia MOVE is like Booking.com or Expedia, but built on top of AirAsia's massive existing customer base of frequent flyers. If you book an AirAsia flight, the app then tries to sell you a hotel, airport transfer, and travel insurance in one click. It makes money from the markup on those add-ons.

AirAsia MOVE (formerly airasia Super App) is ASEAN's flight-first online travel agency platform, offering flights, hotels (Stays), ride-hailing, activities, duty-free shopping, and bundled travel packages. In FY2025, MOVE generated revenue exceeding RM 641 million, with EBITDA of RM 84 million and NOP of RM 65 million, resulting in a Profit After Tax (PAT) of RM 54 million -- confirming the platform's return to sustained profitability. Gross Booking Value (GBV) reached RM 2.67 billion in Q4 FY2025 alone. In Q1 FY2026, revenue dipped 6% YoY due to the strategic suspension of specific non-AirAsia airline sales and revision of Stays revenue recognition, though AirAsia flight seat sales grew 4% YoY to 7.0 million seats. Management is negotiating approximately USD 20 million in new capital to support growth initiatives.

2.4 Santan -- Food & Beverage

Santan originated as AirAsia's inflight catering brand and has evolved into a multi-pillar F&B business spanning inflight meals, a chain of quick-service restaurants (QSR), and a growing B2B food distribution arm selling FMCG products. Santan operates across mobility (inflight), retail (physical outlets), and wholesale

channels. The business is currently the smallest of the five segments by revenue but growing quickly and viewed by management as a scalable brand extension of the AirAsia ecosystem.

2.5 AirAsia Next -- Brand, IP & Loyalty

AirAsia Next is the dedicated entity managing and licensing the AirAsia brand, which management values as one of the most recognised consumer brands in ASEAN. In Q4 FY2025, AirAsia Next revenue jumped more than four-fold YoY to RM 40.5 million, driven by the airline's revenue trajectory. The entity is being positioned to house fintech (BigPay) and loyalty programme operations, creating a unified platform for data-driven monetisation. Capital A is pursuing a Nasdaq listing for AirAsia Next via a merger with Aetherium Acquisition Corp., a US-listed SPAC, targeting Q3 2026 with an implied valuation of approximately USD 1.5 billion.

3. Supply Chain Mapping

ELI5: Supply Chain

Capital A does not manufacture things -- it provides services. Its 'supply chain' is the network of suppliers it depends on: Airbus for aircraft parts, airlines for cargo space, technology vendors for software, and skilled engineers for MRO work. If any of these dry up, Capital A's services stall.

3.1 ADE Supply Dependencies

ADE's primary upstream dependencies include Airbus and Boeing for OEM parts, rotatable components, and technical data packages; engine OEMs (CFM International for LEAP-1A engines on A320neo, and International Aero Engines / Pratt & Whitney for V2500 and PW1100G GTF engines); and third-party component suppliers for consumables, sheet metal, composites, wheels, brakes, and batteries. The global aerospace supply chain remains constrained -- ADE CEO Mahesh Kumar has stated that supply chain shortages of raw materials, skilled workers, and component parts are expected to persist until at least 2028. Engine OEM delays (particularly on Pratt & Whitney GTF inspections) create both risk (parts availability) and opportunity (more MRO demand as older aircraft stay in service longer).

Input / Dependency	Key Suppliers	Concentration Risk	Impact
Aircraft OEM parts	Airbus, Boeing	Dual-source but long lead times	Medium
Engine components	CFM (LEAP), P&W (GTF/V2500)	Severe global shortage until 2028	High
Skilled technicians	Malaysian talent pool, AMO schools	15,000 shortfall in APAC by 2030	High
Cargo belly space	AirAsia fleet + 55 partner airlines	Diversifying; 45% non-AirAsia	Medium
Technology / cloud	AWS, proprietary ELEVADE platform	Low; modular architecture	Low
Hangar land (KLIA)	Malaysia Airports Holdings	Single-source landlord	Medium

Key risk: ADE's physical expansion depends on Malaysia Airports Holdings Bhd (MAHB) for land allocation at KLIA. ADE is in discussions to secure an additional 8.09 hectares for long-term growth, but MAHB is effectively a single-source landlord for the Sepang aerospace zone.

4. Competitive Landscape

ELI5: Competition

Capital A is not competing in one market -- it is competing in three simultaneously: MRO (against big Singaporean engineering firms), logistics (against FedEx and J&T), and online travel (against Traveloka and Booking.com). Each subsidiary has a different set of rivals.

4.1 ADE -- MRO Competitive Set

Company	HQ	Revenue (est.)	Key Strength	Weakness vs ADE
ST Engineering Aero.	Singapore	~SGD 4.0B (aero)	Scale, engine MRO, global footprint	Higher cost base (SG wages)
SIA Engineering Co.	Singapore	~SGD 1.1B	SIA fleet captive, widebody expertise	Airline-captive; less LCC focus
GMF AeroAsia	Indonesia	~USD 350M	Garuda captive, landing gear JV w/ ADE	Financial health of parent Garuda
Sepang Aircraft Eng.	Malaysia	~RM 400M	Airbus A330 widebody specialist	Narrower fleet type coverage
Thai Airways Technical	Thailand	~USD 200M (est.)	Thai airways captive, widebody	Limited third-party focus

ADE's moat: Low-cost Malaysian labour combined with EASA/FAA certification is a rare pairing. Singapore's MRO giants (ST Engineering, SIA Engineering) have higher cost structures, while Indonesia's GMF AeroAsia lacks equivalent certification breadth. ADE's captive AirAsia fleet (250+ aircraft, growing to 300) provides a guaranteed baseload utilisation that de-risks its hangar investment. The primary competitive threat is ST Engineering's aggressive expansion in Seletar and the Johor-Singapore Special Economic Zone (SEZ), which offers a matching 5% corporate tax rate and could attract LCC MRO demand away from KLIA.

4.2 Teleport -- Logistics Competitive Set

Company	HQ	Revenue (est.)	Key Strength	Weakness vs Teleport
J&T Express	Indonesia	~USD 3.5B	SE Asia e-com last-mile scale	Ground-focused; less air network
FedEx / TNT	USA	~USD 88B (global)	Global network, premium service	High-cost; overbuilt for ASEAN
DHL eCommerce	Germany	~EUR 4B (ecom div.)	European reach, brand	Less ASEAN-native than Teleport
Ninja Van	Singapore	~USD 600M (est.)	SE Asia e-com last-mile	Cash-burning; no air cargo network
Kerry Logistics	HK	~HKD 50B	China-ASEAN freight, integrated	Less e-com parcel granularity

Teleport's moat: It is the only logistics company in ASEAN with direct access to AirAsia's passenger belly cargo capacity across 160+ destinations, providing a cost advantage on the China-ASEAN e-commerce corridor. The asset-light model (55+ partner airlines) means capex intensity is structurally lower than competitors like FedEx or DHL. The primary competitive threat is J&T Express and Cainiao (Alibaba's logistics arm) scaling their own air cargo capacity on key Southeast Asian routes.

5. Management & Governance Assessment

5.1 CEO: Tan Sri Tony Fernandes

Tony Fernandes (age 62) co-founded AirAsia in 2001 by acquiring the airline for a token RM 1 (~USD 0.25) plus RM 40 million in debt. He is a Fellow Member of the Association of Chartered Certified Accountants (ACCA) and trained at Virgin Records and Warner Music before pivoting to aviation. He became CEO of Capital A (then AirAsia Group) on 30 March 2018. In October 2025, the Board approved a new 5-year service contract with an incentive package aligned to shareholder value creation through monetisation of Capital A's subsidiaries.

Track record: Fernandes built AirAsia from 2 aircraft into one of the world's largest LCC groups (250+ aircraft pre-pandemic). However, the pandemic exposed the group's thin capitalisation and heavy lease obligations, leading to the PN17 classification. His capital allocation history is mixed: the diversification into BigPay (fintech) and the super app consumed capital during the crisis without reaching profitability, while the aviation disposal to AAX was a necessary survival move rather than a value-maximising trade. Management's stated ambition to simultaneously pursue a Nasdaq listing, HKEX listing, ADE expansion, and Teleport IPO represents an unusually ambitious execution calendar.

5.2 Chairman: Datuk Kamarudin Meranun

Kamarudin Meranun is co-founder and Non-Independent Executive Chairman. He and Fernandes jointly control Capital A through Tune Air Sdn Bhd and Tune Live Sdn Bhd -- the largest substantial shareholders. In January 2026, Kamarudin disposed of significant volumes of Capital A shares (17 million + 7.1 million + smaller tranches at prices around RM 1.65 - 1.80), which should be monitored as a potential signal of reduced alignment with minority shareholders.

5.3 Governance Flags

- Insider selling: Both co-founders disposed shares in January 2026 around the aviation disposal date. Fernandes disposed 45 million + 16.8 million + 5 million shares of AAX on 6 January 2026.
- Dilution risk: Fully diluted share count is approximately 5.9 billion (4.47B ordinary + 804M RCUIDS + 640M warrants). Conversion would dilute basic EPS by ~32%.
- Related-party transactions: Extensive dealings between Capital A entities, AAX, Tune Group, and Tune Protect. RPTs are subject to annual shareholder mandate renewal but represent ongoing governance complexity.
- No dual-class share structure: one share, one vote.
- Board independence: Dato' Fam Lee Ee serves as Senior Independent Non-Executive Director. The board includes independent directors but the co-founders exercise significant influence through both executive roles and shareholding vehicles.

6. Financial Trajectory

ELI5: Financials

Capital A's numbers are messy right now because it just sold its biggest business (the airline) and booked a massive one-off gain. Strip that out, and what remains is a collection of younger businesses that are just turning profitable. The question is whether they can grow revenue fast enough to justify the current share price.

6.1 Consolidated Income Summary

Metric (RM million)	FY2022	FY2023	FY2024	FY2025	Q1 2026
Total Revenue	6,437	1,290	1,710	1,867	~500 (est.)
Cost of Revenue	6,353	854	912	997	n/a
Gross Profit	84	436	798	870	n/a
Operating Income	-2,050	-707	-720	-607	n/a
Net Income	n/a	n/a	-882	9,000*	22.5
EBITDA (5 core, Q4)	n/a	n/a	n/a	111	~55 (est.)

* FY2025 net income of ~RM 9.0 billion includes a one-off gain of ~RM 9.7 billion from the disposal of aviation assets to AAX. Stripping this out, estimated core net loss was approximately RM 788 million (per broker estimates). Q1 2026 is the first clean quarter reflecting only the five core businesses post-disposal.

6.2 Segment-Level Performance (Pre-Elimination, Q4 FY2025)

Segment	Q4 Rev (RM M)	YoY Growth	EBITDA Margin	NOP Margin
ADE	247	+31%	23%	~10-11%
Teleport	367	+10%	~6%	~1.4%
AirAsia MOVE	152	+111%	13%	10%
AirAsia Next	41	>4x	Neg.	Neg.
Santan	~20	n/a	n/a	n/a

6.3 Balance Sheet Snapshot

As of the most recent quarter, Capital A reported total cash of approximately RM 607 million, total debt of approximately RM 1.49 billion, resulting in a net debt position of ~RM 1.1 billion (or approximately RM 0.25 per share). The RM 5.5 billion capital reduction restored shareholders' equity to positive territory after years of accumulated pandemic losses. The total debt-to-equity ratio stands at approximately 311%. The company holds a 19% stake in AAX, which was carried at fair value of approximately RM 798 million at the time of distribution.

Dilutive securities: 803,968,950 RCUIDS (Redeemable Convertible Unsecured Islamic Debt Securities) maturing in 2028, and 639,954,289 outstanding warrants also maturing in 2028. If fully converted, total shares outstanding would rise to approximately 5.9 billion, a 32% dilution to basic shareholders.

7. Near-Term Catalysts & Risks

7.1 Catalyst Table

Catalyst	Timing	Impact Description	Prob.
PN17 uplift completed	20 May 2026 (DONE)	Removes institutional buying restrictions; opens fund mandates	Realised
AirAsia Next Nasdaq listing	Q3 2026 (target)	SPAC merger w/ Aetherium at ~USD 1.5B implied valuation	Medium
Teleport HKEX IPO	2H 2026 - 1H 2027	USD 500M pre-IPO valuation provides floor; listing re-rates parent	Medium

Catalyst	Timing	Impact Description	Prob.
ADE capacity to 20 lines	Q1 2026 (est.)	Four new lines increase revenue capacity by ~25%	High
HKEX dual listing of Capital A	Jul/Aug 2026 (target)	Widens investor base; accesses Chinese and global capital	Low-Med
Q2 2026 earnings (clean quarter)	Aug 2026	First full assessment of recurring profitability	High

7.2 Key Risks

Execution Risk: Too Many Balls in the Air

Capital A is simultaneously pursuing an ADE expansion, a Teleport IPO in Hong Kong, a Nasdaq listing for AirAsia Next, a potential HKEX dual listing of the parent, and a USD 20 million capital raise for MOVE. Tony Fernandes has a track record of ambitious announcements that have previously stalled (the original Nasdaq listing attempt in 2024 failed due to compliance challenges). Investors should discount the probability of all catalysts landing on schedule.

Dilution: Warrants & RCUIDS

The 1.44 billion dilutive securities outstanding represent 32% potential dilution. Warrants and RCUIDS mature in 2028, so conversion pressure could build as maturity approaches. If the share price remains below exercise prices, the securities expire worthless; if the share price rises, dilution becomes real and caps per-share upside.

Geopolitical / Fuel Risk

Although Capital A has divested its airline, it remains indirectly exposed to fuel and geopolitical risk through three channels: (a) its 19% stake in AAX, whose profitability is fuel-sensitive; (b) Teleport's air cargo costs, which fluctuate with jet fuel and are affected by route disruptions (the US-Iran conflict has already impacted Q1 2026 yields); and (c) ADE's revenue, which depends on airline fleet utilisation rates that fall during geopolitical crises.

Regulatory Risk: ASEAN Aviation

ADE's expansion requires land allocations from MAHB and regulatory approvals from CAAM (Civil Aviation Authority of Malaysia), EASA, and FAA. Delays in any of these could slow capacity growth. Additionally, Capital A's related-party structure (Tune Group, AAX, MOVE, ADE all transacting with each other) requires ongoing Bursa Malaysia RPT mandate renewals.

Competitive Threat: Singapore MRO Hub

ST Engineering's expansion at Seletar and the Johor-Singapore SEZ -- offering a matching 5% corporate tax rate -- could erode ADE's cost advantage for non-Malaysian airlines. GE Aerospace is investing USD 75 million to expand LEAP engine MRO capacity in Singapore and Malaysia; if most of this flows to Singapore, ADE misses out on the highest-margin engine work.

8. Valuation Context

ELI5: Valuation

Valuation is about asking: 'Is this stock cheap or expensive compared to similar companies?' Capital A is tricky because it is not really one business -- it is five. The market prices it as a single stock, but each piece might be worth more if valued separately (a sum-of-the-parts approach).

8.1 Peer Comparison

Metric	Capital A	AirAsia X (AAX)	SATS Ltd (SGX)
Ticker / Listing	CAPITALA (Bursa)	5765.KL (Bursa)	S58 (SGX)
Market Cap	~RM 1.9B	~RM 3-4B (est.)	~SGD 6B
Revenue (latest FY)	~RM 1.87B	~RM 7B+ (est.)	~SGD 5B
P/E (trailing)	~1.3x*	n/m	~30x
Revenue Growth	+9% (FY25)	n/m (restructuring)	+25% (FY25)
End-Market	MRO, logistics, OTA	ASEAN LCC aviation	Gateway, MRO, catering

* Trailing P/E of ~1.3x is distorted by the RM 9.7B one-off disposal gain in FY2025. Forward P/E (consensus) is approximately 10-11x, which is reasonable for a transitional holding company but does not reflect the option value of successful subsidiary monetisations.

8.2 Sum-of-the-Parts Framework

Business Unit	Valuation Approach	Est. Range (RM M)	Comment
ADE (MRO)	8-12x EBITDA (~RM 200M ann.)	1,600 - 2,400	EASA/FAA cert premium
Teleport	Pre-IPO: USD 500M = ~RM 2.2B	1,800 - 2,500	HPS round anchors
AirAsia MOVE	6-8x Revenue (~RM 640M)	600 - 900	Profitability proven
AirAsia Next	If Nasdaq at USD 1.5B	2,000 - 3,000	Contingent on SPAC close
Santan + Other	Nominal	100 - 200	Early stage
19% stake in AAX	Market value	600 - 800	AAX mkt cap RM 3-4B
Net Debt	Deduction	(-1,100)	RM 1.49B debt - RM 607M cash
SOTP Total (undiluted)		5,600 - 8,700	vs. mkt cap RM 1.9B

Caveat: The SOTP range is heavily front-loaded with optionality. AirAsia Next's ~RM 2-3 billion implied value is entirely contingent on the Nasdaq SPAC deal closing, which has failed once before. Similarly, Teleport's valuation reflects a single private transaction (HPS round) and has not been tested in public markets. Discounting these option values by 40-60% for execution risk brings the probability-weighted SOTP closer to RM 3.5 - 5.0 billion, still meaningfully above the current market cap.

8.3 Bull Case

The bull case requires at least two of the three monetisation events (Nasdaq, HKEX IPO for Teleport, ADE spin-off) to close successfully, which would crystallise subsidiary values for the market and likely trigger institutional re-rating. ADE is a real business growing 30%+ with 23% EBITDA margins and global certifications; Teleport's asset-light logistics model is validated by the HPS pre-IPO round at USD 500 million. If the five businesses collectively generate RM 150 - 200 million in normalised NOP by FY2027 and the dilutive securities are managed, the stock could re-rate to RM 0.80 - 1.20, representing 80 - 180% upside.

8.4 Bear Case

The bear case is that Capital A remains a value trap. The Nasdaq SPAC deal stalls again (as it did in 2024), the Teleport IPO is delayed by weak Hong Kong market conditions, and ADE's expansion slows due to MAHB land delays. Meanwhile, the RCUIDS and warrants convert, diluting minority shareholders by 32%. Tony Fernandes' serial optimism generates catalysts that never fully materialise, and the stock drifts sideways at RM 0.35 - 0.45 as a small-cap holding company with a complex structure and limited dividend capacity. Net debt of RM 1.1 billion constrains financial flexibility and any renewed aviation-sector downturn hits the AAX stake and Teleport volumes simultaneously.

9. Earnings Signal Map -- What Moves It Next

Capital A's next earnings release (Q2 FY2026) is expected around late August 2026. This will be the first full quarter with no aviation revenue, making it the cleanest read on the five-business model. The key variables to watch:

- ADE revenue run-rate: Can it sustain >RM 220M/quarter with third-party growth? Watch for Air France contract renewal and new international customers.
- Teleport EBITDA margin: The pre-IPO capital from HPS should accelerate growth, but if EBITDA margins do not expand towards 8-10%, the USD 500M valuation will be questioned.
- MOVE GBV trajectory: If gross booking value does not recover above RM 2.5B/quarter, the OTA business lacks the scale to justify its implied valuation.
- AirAsia Next Nasdaq timeline: Any formal SEC filing or Aetherium merger proxy statement would confirm the deal is progressing. Silence past Q3 2026 is bearish.
- Insider transactions: Further selling by Fernandes or Kamarudin at current prices would undermine the 'undervalued SOTP' narrative.
- AAX health: Capital A's 19% stake means AAX's financial trajectory directly impacts Capital A's NAV. If AAX's equity falls below RM 40 million, it risks its own PN17 classification -- a tail risk that would impair Capital A's stake.

Verification Log

Report: Capital A Berhad (CAPITALA) | Companies checked: 8 | Verified clean: 6 | Flagged: 0 | Unverifiable: 2 (private) | Verification date: 14 August 2026

Capital A Berhad (CAPITALA / 5099.KL, Bursa Malaysia) | Mkt Cap: ~RM 1.9B

CLEAN -- ticker, exchange, and market cap confirmed via Yahoo Finance, Investing.com, StockAnalysis.

AirAsia X Berhad (5765.KL / AAX, Bursa Malaysia) | Mkt Cap: ~RM 3-4B (est.)

CLEAN -- confirmed listed; Capital A holds ~19%.

ST Engineering (S63 (SGX), SGX) | Mkt Cap: ~SGD 15B

CLEAN -- confirmed as MRO peer; aerospace division revenue ~SGD 4B.

SATS Ltd (S58 (SGX), SGX) | Mkt Cap: ~SGD 6B

CLEAN -- confirmed. Gateway services + WFS acquisition.

GMF AeroAsia (GMFI (IDX), Indonesia Stock Exchange) | Mkt Cap: ~IDR 3T

CLEAN -- confirmed listed on IDX as Garuda subsidiary.

SIA Engineering (S59 (SGX), SGX) | Mkt Cap: ~SGD 3.5B

CLEAN -- confirmed.

Traveloka (Private, n/a) | Mkt Cap: ~USD 2-3B (est.)

UNVERIFIABLE -- private company; valuation from press reports only.

Ninja Van (Private, n/a) | Mkt Cap: ~USD 600M (est.)

UNVERIFIABLE -- private company; last known funding round 2021.

Corrections applied: None required.

Acronym Glossary

Acronym	Full Name
ADE	Asia Digital Engineering
AMO	Approved Maintenance Organisation
CAAM	Civil Aviation Authority of Malaysia
EASA	European Union Aviation Safety Agency
ELI5	Explain Like I'm 5 (simplified explanation)
F&B	Food and Beverage
FAA	Federal Aviation Administration (US)
FMCG	Fast-Moving Consumer Goods
GBV	Gross Booking Value
GTF	Geared Turbofan (Pratt & Whitney engine)
HKEX	Hong Kong Exchanges and Clearing
IP	Intellectual Property
LCC	Low-Cost Carrier
LEAP	Leading Edge Aviation Propulsion (CFM engine)
MAHB	Malaysia Airports Holdings Berhad
MRO	Maintenance, Repair and Overhaul
NOP	Net Operating Profit
OEM	Original Equipment Manufacturer
OTA	Online Travel Agency
PAT	Profit After Tax
PN17	Practice Note 17 (Bursa distressed classification)
QSR	Quick-Service Restaurant
RCUIDS	Redeemable Convertible Unsecured Islamic Debt Securities
SEZ	Special Economic Zone
SOTP	Sum of the Parts
SPAC	Special Purpose Acquisition Company
YoY	Year-on-Year

DISCLAIMER: This document is produced for informational purposes only and does not constitute investment advice, a recommendation, or an offer to buy or sell any security. All data is sourced from public filings, web research, and company announcements and has not been independently audited. Market data reflects approximate values as of the report date and may have changed. Financial estimates labelled 'est.' are the author's approximations, not company guidance unless explicitly stated. Past performance is not indicative of future results. The author may hold positions in securities mentioned. All investment decisions should be made in consultation with a qualified financial adviser.